Seeking Lower Status

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The Puzzle

- **Social identity theory**: individuals prefer to identify with higher-status groups.
- Individuals derive self-esteem from the status of their groups (Tajfel and Turner 1979).

Puzzle

In the last two decades, locally dominant caste groups in India have agitated, sometimes violently, to be classified as "Other Backward Classes" (OBCs)—groups considered to be of lower status.

Scenes from the Agitations

Maratha quota agitation turns violent in Maharashtra

Majority of the untoward incidents were reported from Marathwada region, which is now the epicentre of the movement.

Last Updated : 30 October 2023, 20:35 IST



Smoke billows after an office of NCP was set on fire by Maratha reservation agitators, in Beed district, Maharashtra, Monday, Oct. 30, 2023. PTI Photo

Marathas, Maharashtra (2023)

Source: Deccan Herald; photo: PTI

Gujarat Violence: Army Called After 4 Killed, RAF Lands in Surat

Paramilitary forces deployed in Gujarat following late night clashes in Rajkot, Surat and Ahmedabad.

THE QUINT INDIA

Updated: 26 Aug 2015, 05:48 PM IST



Patidars, Gujarat (2015)

Source: The Quint

Damage Worth Rs 20,000 Crore From Jat Protests, Says ASSOCHAM

The Haryana government has suffered damages worth Rs 20,000 crore during the ongoing agitation for reservation.

PTI INDIA

Published: 22 Feb 2016, 12:29 PM IST

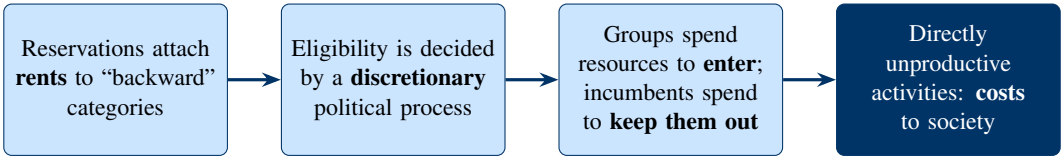


Jats, Haryana (2016)

Source: The Quint; ASSOCHAM estimate

Argument

- Individuals may identify with lower-status groups if there are **rents** associated with this identification.
- This rent-seeking incentivizes **directly unproductive activities**, which generate costs—including costs borne by third parties.
- We illustrate this using **four cases** of caste groups.



Background: Caste System

- Individuals are born with a caste identity, the *jati*: a largely endogamous and hereditary social group.
- Caste identity is **ascriptive**: it is assigned at birth and is immutable.
- The four *varnas*, in decreasing order of rank, form the broader frame; the *jati* is the operative unit.

Highest rank ↓ lowest rank

Brahmins: the priest class

Kshatriyas: the warrior class

Vaishyas: the merchants

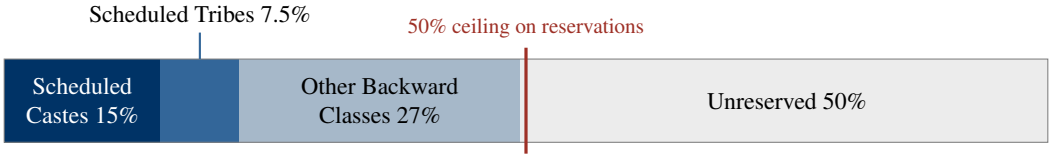
Shudras: occupations supporting the other three

The "untouchable" caste groups, outside the *varna* hierarchy

Background: Reservations

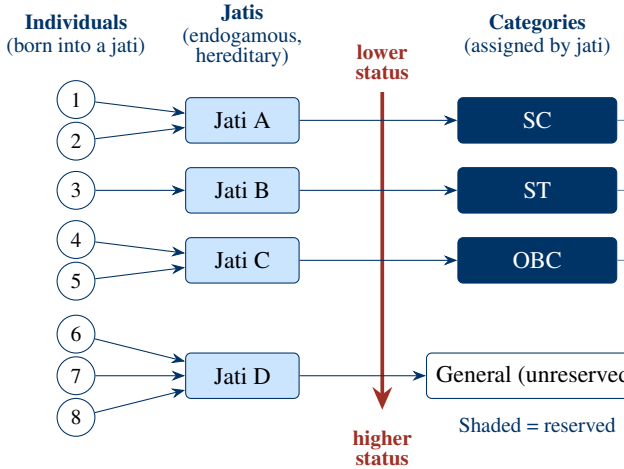
- "Reservations" are India's affirmative action policy for caste groups: quotas in **public-sector employment**, **public higher education**, and **seats in legislatures and local bodies** (legislative seats only for SCs and STs).
- Reservations exist at the level of the union (federal) government and of state governments; states can set their own quotas, which generally exceed the union figures.
- Reservations deliver **benefits** in education, employment, and intergenerational mobility (Cassan 2019; Asher et al. 2024; Khanna 2020; Bertrand et al. 2010).

Union government reservation shares



Scheduled Castes: the former "untouchables"

Background: Classification



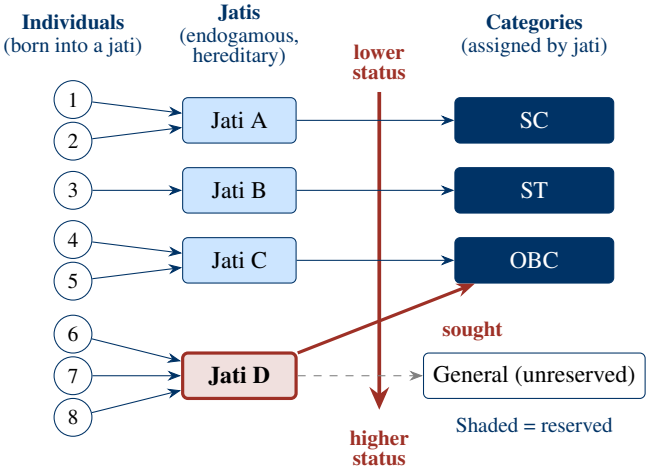
Basis of the original classification

1950. Extreme social, educational, and economic backwardness from untouchability.

1950. Primitive traits, distinctive culture, geographic isolation, and backwardness.

1990. Social and educational backwardness, as identified by the Mandal Commission.

Background: The Reclassification Sought



Background: Classification Process

	Where the change must be made, and how
SC and ST	**Central level** The state proposes; two national bodies must concur; the Cabinet and Parliament then pass it.
OBC central list	**Central level** A national commission examines the claim and advises; the central government decides.
OBC state lists	**State level** A state commission, appointed by the state government, examines the claim; the state government then decides.

Theory: Rent-Seeking and the Tullock Contest

- Reservations are **uncompensated transfers**, and thus **rents**.
- Rent-seeking as **directly unproductive activities** (Bhagwati 1982): activities that yield pecuniary returns to the actor, but produce no goods or services.
- The rents are **rivalrous**: the reserved share is capped, and restricted entry preserves the benefits.
- **Entering groups** invest resources in influencing the political process to be reclassified; **incumbent groups** invest resources in defending their rents. Resources spent are not recovered (Tullock 1980).

The chance of a group's inclusion depends on...

$$\Pr(\text{included}) = f\big(\text{group characteristics},\ \text{own effort},\ \text{opponents' effort},\ \text{responsiveness of the venue (discretion)}\big)$$

Background: Classification Process

	Where the change must be made, and how	Responsiveness
SC and ST	**Central level** The state proposes; two national bodies must concur; the Cabinet and Parliament then pass it.	**Low**
OBC central list	**Central level** A national commission examines the claim and advises; the central government decides.	**Intermediate**
OBC state lists	**State level** A state commission, appointed by the state government, examines the claim; the state government then decides.	**High**

Theory: Which Groups Seek Reclassification?

Dominant groups: “numerical preponderance, economic and political power, and a ritual rank that is not too low” (Srinivas 1959).

- **Complementary inputs**: reservations allow entry, not success. Many eligible individuals do not use them, due to lack of information or red tape (Deshpande 2017).
- **Neither very rich nor very poor**: the “creamy layer” excludes high-income households; poorer groups cannot afford to invest in political rent-seeking.
- **Large population share**: larger groups weigh more in a vote-seeking decision-maker’s calculation (Stigler 1971; Peltzman 1976).
- **Low stigma**: the stigma of a lower-status label is small for groups not low in the hierarchy; the OBC category is large and less stigmatized than SC or ST.

Application: Caste-Based Agitations in India

Jati	State	Share of state sample
Marathas	Maharashtra	26%
Jats	Haryana	13%
Patidars (Patels)	Gujarat	5%

IHDS 2011–12 (Deshpande and Ramachandran 2017).

- On consumption, poverty, education, and occupation, all three are **closer to the forward castes** than to OBCs, SCs, or STs (Deshpande and Ramachandran 2017).

Strategies Used to Gain the Benefits

Marathas (Maharashtra)

- **Protests and targets**: mass marches (2016–17), blockades and bus burnings (2018), and hunger strikes (2023) pressed the state government and legislature for a quota. The state commission rejected the claim (2008); a committee chaired by a Maratha cabinet minister (Rane, 2014) then found them backward, and the Gaikwad Commission backed the 2018 Act
- **Costs**: a constable and a protester dead (2018); vehicles torched; no overall loss estimate

Jats (Haryana)

- **Protests and targets**: rail and highway blockades, arson, and shut canals (Feb 2016) pressed the state government for a quota; earlier lobbying got the Union Cabinet to override the expert commission (NCBC) that found them not backward (2014)
- **Costs**: about 30 dead; USD 3–4 billion in estimated losses; Railways alone lost about Rs 56 crore

Patidars (Gujarat)

- **Protests and targets**: 149 rallies in 55 days, then Ahmedabad (Aug 2015), with riots, curfew, and the army, pressed the state government for OBC status; they later demanded a survey from the state OBC commission (2018)
- **Costs**: 10 to 14 dead; 33 buses burnt in Ahmedabad (Rs 12 crore); 51 trains cancelled; 650+ arrested

Meenas Defending Rents: Gurjars vs. Meenas in Rajasthan

- The **Gurjars**, already OBC and not locally dominant, sought ST status after Jats joined Rajasthan's OBC list in 1999 and crowded them out of the quota.
- Blockades of rail lines and highways in 2007–08 left dozens dead. The ST route (needing national concurrence) was never reached; the state-controlled route to a separate quota yielded five grants, 2008–2019.
- The **Meenas**, Rajasthan's largest ST, defended their rents: they threatened to agitate if Gurjars were given ST status, and violent Gurjar–Meena clashes followed in 2007.

Indian Gujar caste riots kill 37



People carry an injured man after ethnic Gujjars clashed with the police at Pilupura village, near Bharatpur, India. Photograph Vinay Joshi/Reuters

Gurjar agitation, Rajasthan (2008)

Source: The Guardian (AP); photo: Vinay Joshi/Reuters

Conclusion

- Individuals may want to be associated with "lower-status" groups if there are **rents** associated with doing so: the direction of status-seeking is institutionally contingent, not a fixed psychological parameter.
- Costs generated by rent-seeking that is incentivized by **discretion** must be taken into account when evaluating reservation policies in India.

Thank you!

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